

STRATUM CAPITAL BANK

Enterprise Governance & Risk Framework

CHAPTER 10

Treasury, Liquidity & Capital Risk Management Framework

Classification:	CONFIDENTIAL – INTERNAL USE ONLY
Version:	5.4.1
Effective Date:	1 January 2025
Next Review:	31 December 2025
Document Owner:	Chief Financial Officer
Approved By:	Board Risk Committee

This document is CONFIDENTIAL and intended solely for authorised personnel of Stratum Capital Bank. Unauthorised disclosure, reproduction, or distribution is strictly prohibited and may constitute a breach of applicable law and regulatory obligations.

10.1	Purpose
------	---------

This Chapter establishes the comprehensive Treasury, Liquidity, and Capital Risk Management Framework (hereinafter, the 'Framework') for Stratum Capital Bank (the 'Bank'). The Framework sets out the governance structures, risk appetite parameters, operational controls, monitoring mechanisms, and escalation procedures that govern all treasury, liquidity, and capital-related activities across the Bank and its subsidiaries.

The Framework has been developed in accordance with applicable Basel III standards, the requirements of the relevant prudential supervisory authority, and the Bank's internal risk governance policies. It shall be read in conjunction with the Board-approved Risk Appetite Statement, the Capital Management Policy, the Liquidity Risk Policy, and all subsidiary risk framework documents referenced herein.

10.1.1 Objectives

The overarching objectives of this Framework are to:

- Ensure that the Bank maintains adequate liquidity and capital resources at all times, commensurate with the nature, scale, and complexity of its business activities;
- Establish a robust governance structure with clearly delineated responsibilities across the Board, executive management, and operational units;
- Define and maintain an explicit Risk Appetite for treasury, liquidity, and capital risks that is consistent with the Board-approved Risk Appetite Statement;
- Ensure full and ongoing compliance with all applicable regulatory capital and liquidity requirements, including but not limited to Basel III, local prudential regulations, and international best practices;
- Promote transparency and consistency in risk identification, measurement, monitoring, reporting, and control;
- Establish clear escalation pathways to ensure that material risks and limit breaches are communicated promptly to the appropriate levels of management and governance;
- Support the Bank's strategic planning processes by integrating capital and liquidity considerations into business planning, product development, and strategic initiatives.

10.1.2 Treasury Governance

The Treasury Governance component of this Framework defines the institutional structures through which the Bank oversees and controls its treasury function. Effective treasury governance is fundamental to the Bank's financial resilience and its capacity to fulfil obligations to customers, counterparties, and regulators.

Treasury governance encompasses the full spectrum of oversight from Board-level strategic direction through to the day-to-day operational controls exercised by the Treasury Department. The governance framework is designed to ensure that treasury activities are conducted within defined risk parameters, that risks are identified and escalated appropriately, and that treasury decisions are subject to rigorous challenge and independent review.

Governance arrangements shall be subject to periodic review by the Internal Audit function and shall be updated to reflect changes in the Bank's risk profile, business activities, or regulatory requirements.

All governance documents shall be maintained in the Bank's Policy Management System and shall be accessible to all relevant personnel.

10.1.3 Capital Protection

Capital protection is a core objective of this Framework. The Bank is committed to maintaining capital resources that exceed regulatory minima at all times, including under adverse stress conditions. Capital protection encompasses capital planning, capital conservation, and capital adequacy monitoring.

The Bank shall at all times hold regulatory capital in accordance with the requirements of Basel III as implemented by the relevant supervisory authority, including the Common Equity Tier 1 (CET1) capital ratio, Tier 1 capital ratio, and Total Capital ratio, inclusive of applicable buffer requirements. The Bank's capital conservation strategy shall prioritise the maintenance of these requirements and shall include defined triggers and actions to be taken in the event that capital ratios approach defined thresholds.

Capital protection also encompasses the Bank's Internal Capital Adequacy Assessment Process (ICAAP), which provides a forward-looking assessment of capital adequacy under both base and stress scenarios. The ICAAP shall be reviewed and approved by the Board Risk Committee on an annual basis and shall be submitted to the supervisory authority in accordance with applicable regulatory timelines.

10.1.4 Liquidity Management

Liquidity management is the process by which the Bank ensures it can meet its financial obligations as they fall due, under both normal and stressed conditions, without incurring unacceptable losses or resorting to emergency measures that could jeopardise the Bank's financial position or reputation.

The Framework establishes a multi-layered approach to liquidity management, encompassing intraday liquidity monitoring, short-term cash flow management, medium-term funding planning, and contingency liquidity planning. The Bank shall maintain a high-quality liquid asset (HQLA) buffer that is sufficient to meet its obligations under a defined liquidity stress scenario of at least 30 calendar days.

Liquidity management responsibilities are distributed across the Treasury Department, Finance Department, and Risk Management function, with ultimate accountability resting with the Chief Financial Officer and the Asset Liability Committee (ALCO). The Board Risk Committee retains oversight responsibility and shall receive regular reports on the Bank's liquidity position.

10.1.5 Funding Stability

Funding stability refers to the Bank's ability to maintain access to diverse and reliable sources of funding over the medium to long term. A stable funding profile reduces the Bank's vulnerability to sudden changes in market conditions, counterparty behaviour, or investor sentiment.

The Framework requires the Bank to maintain a diversified funding base across retail deposits, wholesale funding, interbank markets, and capital markets instruments. Concentration limits apply to individual funding sources, counterparties, and maturities. The Bank shall at all times seek to align the tenor of its funding with the tenor of its assets, consistent with a prudent funding gap profile.

The Net Stable Funding Ratio (NSFR), as defined under Basel III, shall serve as the primary regulatory metric for funding stability. In addition, the Bank shall maintain internal metrics to monitor funding

concentration, maturity profile, and roll-over risk. These metrics shall be reported to ALCO on a monthly basis and to the Board Risk Committee on a quarterly basis.

10.2**Governance Structure**

The governance of treasury, liquidity, and capital risk at Stratum Capital Bank is structured around a three-lines-of-defence model, with clearly defined roles and responsibilities at each level. This section describes the governance responsibilities of each principal body and function.

10.2.1 Board of Directors

The Board of Directors bears ultimate responsibility for the governance and oversight of the Bank's treasury, liquidity, and capital risk management activities. The Board, acting through its Board Risk Committee, shall:

- Approve the Bank's Risk Appetite Statement, including quantitative liquidity and capital risk limits;
- Approve this Framework and all material amendments thereto;
- Receive and review quarterly reports on the Bank's liquidity position, capital adequacy, and compliance with regulatory requirements;
- Approve the Annual Funding Plan and Capital Plan;
- Oversee the results of ICAAP and ILAAP (Internal Liquidity Adequacy Assessment Process) submissions;
- Ensure that the Bank's remuneration structures do not incentivise excessive risk-taking in treasury activities;
- Appoint and oversee the Chief Financial Officer and Chief Risk Officer, who bear primary executive accountability for this Framework.

The Board shall ensure that it is sufficiently informed of developments in treasury, liquidity, and capital risk to exercise effective oversight. Board members shall receive appropriate training and briefings on material changes in the regulatory environment or the Bank's risk profile.

10.2.2 Asset Liability Committee (ALCO)

The Asset Liability Committee (ALCO) is the principal management committee responsible for the oversight and management of the Bank's balance sheet, including its liquidity, funding, interest rate risk, and capital positions. ALCO operates as a sub-committee of the Executive Risk Committee and reports to the Board Risk Committee.

ALCO shall meet at least monthly, and on an ad hoc basis as required by material developments in the Bank's risk profile or external market conditions. The quorum for ALCO meetings shall consist of the Chief Financial Officer, the Chief Risk Officer, and at least three additional voting members.

ALCO responsibilities include:

- Reviewing and approving the Bank's liquidity risk appetite and funding strategy;
- Setting and monitoring internal limits for liquidity, funding, interest rate risk, and capital;

- Reviewing the Bank's Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) positions against regulatory and internal thresholds;
- Approving material changes to the Bank's funding structure, including new funding instruments or significant changes to existing facilities;
- Reviewing stress test results for liquidity and capital and directing remediation actions where appropriate;
- Approving transfer pricing methodologies for internal funds transfer;
- Reviewing and endorsing the Contingency Funding Plan (CFP) on at least an annual basis;
- Monitoring compliance with all treasury-related risk limits and reviewing limit breach reports.

10.2.3 Chief Financial Officer (CFO)

The Chief Financial Officer (CFO) bears executive accountability for the Bank's financial management, capital adequacy, and liquidity risk management. The CFO chairs ALCO and is responsible for the strategic direction of the Treasury and Finance Departments.

The CFO's specific responsibilities under this Framework include:

- Ensuring that the Bank maintains adequate capital and liquidity resources at all times;
- Overseeing the preparation and submission of the ICAAP and ILAAP;
- Approving the Annual Funding Plan and Capital Plan prior to Board submission;
- Approving the Bank's transfer pricing framework;
- Ensuring that treasury operations are conducted in accordance with this Framework and applicable regulatory requirements;
- Escalating material concerns regarding the Bank's capital or liquidity position to the Board without delay.

10.2.4 Chief Risk Officer (CRO)

The Chief Risk Officer (CRO) is responsible for the independent oversight of the Bank's risk management framework, including treasury, liquidity, and capital risks. The CRO provides independent challenge to ALCO and the Treasury Department, and reports directly to the Board Risk Committee on material risk concerns.

The CRO's responsibilities include:

- Independently reviewing and validating the Bank's liquidity and capital risk models, including stress testing methodologies;
- Overseeing the Risk Management function's monitoring of treasury risk limits;
- Ensuring that treasury risk is appropriately reflected in the Bank's overall Risk Appetite;
- Providing independent assessment of the Bank's ICAAP and ILAAP;
- Escalating material risk concerns to the Board Risk Committee without the need for CFO concurrence.

10.2.5 Treasury Department

The Treasury Department is responsible for the day-to-day management of the Bank's liquidity, funding, and capital markets activities. The Treasury Department operates as the first line of defence for treasury risk management and is responsible for executing the Bank's funding strategy within the parameters established by ALCO and the Board.

Treasury Department responsibilities include:

- Managing the Bank's daily liquidity position and ensuring compliance with intraday liquidity requirements;
- Executing the Bank's funding strategy, including access to retail deposits, wholesale funding markets, interbank facilities, and central bank facilities;
- Managing the Bank's HQLA portfolio within approved investment guidelines;
- Monitoring and reporting the Bank's LCR, NSFR, and other regulatory liquidity metrics;
- Executing hedging strategies to manage interest rate and foreign exchange risks within approved limits;
- Operating the Bank's collateral management function;
- Preparing and distributing daily, weekly, and monthly treasury reports.

10.2.6 Finance Department

The Finance Department is responsible for financial accounting, regulatory reporting, and the preparation of financial statements. Within this Framework, the Finance Department's responsibilities include:

- Preparing regulatory capital calculations and reporting capital adequacy ratios to the supervisory authority;
- Maintaining the Bank's internal funds transfer pricing (FTP) framework in coordination with the Treasury Department;
- Preparing financial projections and supporting the capital planning process;
- Ensuring that treasury transactions are accurately recorded in the Bank's general ledger;
- Coordinating the preparation of the ICAAP and ILAAP financial projections.

10.2.7 Internal Audit

The Internal Audit function provides independent assurance on the design and operating effectiveness of the Bank's treasury, liquidity, and capital risk management controls. Internal Audit operates as the third line of defence and reports directly to the Audit Committee of the Board.

Internal Audit shall conduct risk-based audit reviews of the Treasury Department and related functions at least annually, and more frequently where the risk profile warrants. Audit coverage shall include, at a minimum:

- Compliance with this Framework and all subsidiary policies;
- Adequacy and effectiveness of liquidity risk controls, including HQLA management and cash flow monitoring;
- Accuracy and completeness of regulatory capital calculations and liquidity metric reporting;
- Adequacy of stress testing methodologies and the independence of model validation;
- Effectiveness of exception management and escalation procedures;

- Adequacy of Treasury technology controls, including system access controls and data integrity.

10.3 Liquidity Risk Framework

Liquidity risk is defined as the risk that the Bank is unable to meet its financial obligations as they fall due, or can only do so by incurring unacceptable costs. The Bank's Liquidity Risk Framework provides the structure within which liquidity risk is identified, measured, monitored, and controlled across all business activities and legal entities.

10.3.1 Liquidity Risk Appetite

The Board has established a clearly defined Liquidity Risk Appetite that specifies the level and types of liquidity risk the Bank is willing to accept in pursuit of its strategic objectives. The Liquidity Risk Appetite is expressed through a combination of quantitative thresholds and qualitative statements.

The Bank's Liquidity Risk Appetite is premised on the following principles:

- The Bank shall not knowingly take actions that would reduce its liquidity position to a level at which it would be unable to meet its obligations to customers or counterparties under a defined stress scenario;
- The Bank shall maintain a buffer of HQLA sufficient to withstand a combined idiosyncratic and market-wide stress event for a minimum period of 30 calendar days;
- The Bank shall maintain compliance with the regulatory LCR requirement of 100% at all times, with an internal minimum of 110%;
- The Bank shall maintain an NSFR of at least 100% at all times, with an internal minimum target of 105%;
- The Bank shall maintain funding diversification such that no single funding source exceeds 25% of total liabilities without prior ALCO approval.

The Liquidity Risk Appetite shall be reviewed by ALCO at least annually and shall be approved by the Board Risk Committee. Any material change to the Liquidity Risk Appetite shall require Board approval.

10.3.2 Funding Sources

The Bank maintains access to a diversified range of funding sources to support its liquidity and funding objectives. The primary funding sources are described in Section 10.4 of this Framework. The Treasury Department is responsible for maintaining active relationships with all funding counterparties and for ensuring continuous access to funding across market conditions.

The availability and reliability of each funding source shall be assessed under normal and stressed conditions. Funding that is assessed as unreliable or unavailable under stress conditions shall not be included in the Bank's liquidity buffer calculations without specific approval from ALCO.

10.3.3 Cash Flow Monitoring

The Bank operates a comprehensive cash flow monitoring process that covers all known and expected cash inflows and outflows across all currencies and legal entities. Cash flow monitoring is conducted

by the Treasury Department on an intraday and daily basis, with forward projections extending to at least 12 months.

Cash flow projections shall incorporate:

- Scheduled contractual cash flows from loans, securities, deposits, and other financial instruments;
- Behavioural assumptions for non-contractual cash flows, including retail deposit runoff rates and drawdown rates on credit facilities;
- Contingent cash flows arising from derivatives, guarantees, and off-balance sheet commitments;
- Intraday payment flows, including settlement obligations and collateral calls;
- Expected funding maturities and planned new issuances.

Cash flow projections shall be updated at least daily and shall be reviewed by the Head of Treasury Operations. Material variances from prior projections shall be investigated and reported to the Treasurer and, where material, to ALCO.

10.3.4 Intraday Liquidity

The Bank actively monitors and manages its intraday liquidity position in all currencies in which it operates material payment flows. Intraday liquidity management is designed to ensure that the Bank can meet payment and settlement obligations on a same-day basis without relying on intraday credit from payment systems or central banks that is not prearranged.

The Bank's intraday liquidity management framework shall include:

- Real-time or near-real-time monitoring of intraday payment flows and liquidity positions;
- The maintenance of sufficient intraday liquidity reserves to meet peak payment obligations under normal and stressed conditions;
- Defined escalation procedures for intraday liquidity shortfalls, including the activation of contingency facilities;
- Daily reporting of intraday liquidity metrics to the Head of Treasury Operations, with periodic reporting to ALCO;
- Compliance with the Basel Committee on Banking Supervision's guidance on intraday liquidity monitoring (BCBS 248).

10.3.5 Liquidity Buffers

The Bank shall maintain a portfolio of high-quality liquid assets (HQLA) that constitutes its primary liquidity buffer. The HQLA portfolio shall be composed of assets that are readily convertible to cash with little or no loss of value under stressed market conditions. The composition and management of the HQLA portfolio shall comply with the requirements of the LCR standard under Basel III.

HQLA eligibility shall be assessed on an ongoing basis by the Treasury Department, with independent review by Risk Management. The following asset categories are eligible for inclusion in the HQLA portfolio:

- Level 1 HQLA: Central bank reserves, sovereign and central bank bonds with 0% risk weight, coins and banknotes;

- Level 2A HQLA: Sovereign and central bank assets with 20% risk weight, qualifying non-financial corporate bonds and covered bonds rated AA- or higher (subject to 15% haircut);
- Level 2B HQLA: Qualifying residential mortgage-backed securities, corporate bonds rated between A+ and BBB-, and listed equities (subject to applicable haircuts and aggregate caps as specified in Basel III).

The HQLA portfolio shall be operationally unencumbered and available for use at all times. Assets that are pledged as collateral or are otherwise encumbered shall not be counted toward the HQLA buffer. The Treasury Department shall conduct a daily review of the HQLA portfolio to verify eligibility and operational availability.

10.3.6 Liquidity Stress Events

The Bank has defined a hierarchy of liquidity stress events that trigger escalated management action and, ultimately, the activation of the Contingency Funding Plan (CFP). The stress event classification framework is as follows:

Stress Level	Trigger Indicators	Initial Response
Level 1 – Elevated	LCR 110–120%; funding concentration >20%	Increased monitoring; Treasury review
Level 2 – Warning	LCR 100–110%; significant deposit outflows	ALCO notification; buffer review
Level 3 – Stress	LCR approaching 100%; market access reduced	CFP activation; senior management alert
Level 4 – Crisis	LCR below 100%; market access severely impaired	Emergency measures; Board notification; regulator engagement

Upon the declaration of a Level 3 or Level 4 liquidity stress event, the Chief Financial Officer shall convene an emergency ALCO meeting within 24 hours and shall notify the Board Risk Committee Chair and the Chief Risk Officer without delay. Regulatory notification obligations shall be assessed by the Compliance function and discharged in accordance with applicable regulatory requirements.

10.4

Funding Strategy

The Bank's funding strategy is designed to ensure a stable, diversified, and cost-effective funding base that supports the Bank's business activities and financial objectives under both normal and stressed conditions. The funding strategy is approved by ALCO on an annual basis and reviewed quarterly against actual performance and market conditions.

10.4.1 Retail Deposits

Retail deposits constitute the Bank's primary and most stable source of funding. The Bank actively manages its retail deposit franchise to maintain a broad, granular, and geographically diversified

deposit base. Retail deposits are classified by product type (demand deposits, notice accounts, term deposits), tenor, and customer segment, with each classification assigned a specific behavioural run-off rate for liquidity stress testing purposes.

The Bank's retail deposit management strategy shall include:

- Maintaining competitive deposit pricing that attracts and retains a stable customer base without encouraging excessive concentration in rate-sensitive deposits;
- Diversifying across customer segments, including personal, small business, and corporate deposits;
- Limiting reliance on large, operationally non-critical corporate deposits that may be more volatile under stress;
- Monitoring deposit concentrations and reporting to ALCO where any single depositor exceeds defined thresholds.

10.4.2 Wholesale Funding

The Bank accesses wholesale funding markets to complement its retail deposit base and to manage the maturity profile of its liabilities. Wholesale funding encompasses commercial paper, certificates of deposit, short-term bank borrowings, medium-term notes (MTNs), and senior unsecured bonds.

The Bank shall manage its wholesale funding programme subject to the following parameters:

- Wholesale funding shall not exceed 40% of total liabilities without ALCO approval, subject to Board-approved Risk Appetite limits;
- Short-term wholesale funding (maturity less than 30 days) shall not exceed 15% of total liabilities;
- The Bank shall maintain rolling access to wholesale funding markets through regular issuance and active investor relations programmes;
- Wholesale funding concentrations by counterparty, currency, and maturity shall be monitored and reported monthly to ALCO.

10.4.3 Interbank Borrowing

Interbank borrowing provides the Bank with short-term liquidity to manage daily funding needs and to bridge temporary mismatches in cash flows. The Bank maintains active relationships with a diversified panel of domestic and international banking counterparties.

Interbank borrowing is subject to counterparty credit limits approved by the Credit Risk Committee and incorporated into the Treasury's risk limit framework. The Treasury Department monitors interbank exposures daily and ensures compliance with counterparty limits at all times. Over-reliance on interbank funding is considered a concentration risk and is subject to the wholesale funding concentration limits described in Section 10.4.2.

10.4.4 Central Bank Facilities

The Bank maintains access to central bank lending facilities as a contingency source of liquidity and as part of its Contingency Funding Plan. Central bank facilities include standing facility arrangements

and any emergency liquidity assistance (ELA) mechanisms made available by the relevant central bank.

Access to central bank facilities requires the posting of eligible collateral. The Bank shall maintain a pool of pre-positioned collateral with the central bank sufficient to draw on central bank facilities in the event of a liquidity stress event. The Treasury Department is responsible for managing the collateral pool and ensuring that sufficient eligible collateral is available at all times.

Central bank facility access shall be tested at least annually and shall be reported to ALCO. Results of testing shall be documented and retained in the Treasury operations file.

10.4.5 Bond Issuance

The Bank maintains an active programme for the issuance of senior unsecured bonds, covered bonds, and other capital market instruments. Bond issuance provides the Bank with medium- to long-term funding that supports a stable NSFR position and reduces dependence on short-term wholesale funding.

The Bond Issuance Programme is governed by a Board-approved Debt Issuance Programme (DIP) and is subject to the following parameters:

- All bond issuances shall be approved by the CFO and, where exceeding defined thresholds, by ALCO;
- The maturity profile of the bond portfolio shall be managed to avoid cliff-edge maturities that could create refinancing risk;
- The Bank shall maintain relationships with at least five syndicate banks and a diverse investor base;
- The Currency and tenor of bond issuances shall be aligned with the Bank's balance sheet requirements and hedging strategy.

10.4.6 Diversification Strategy

Funding diversification is a fundamental principle of the Bank's funding strategy. Diversification shall be maintained across the following dimensions: funding instrument type, funding tenor, funding currency, funding counterparty, and geographic source of funding. The Bank shall set and monitor concentration limits across each of these dimensions and shall report compliance to ALCO on a monthly basis.

The Annual Funding Plan shall include a formal diversification analysis that assesses the Bank's funding mix against internal and regulatory benchmarks. The plan shall identify any areas of concentration risk and set out specific actions to improve diversification where required.

10.5

Capital Management

Capital management encompasses the processes by which the Bank identifies, measures, maintains, and optimises its capital resources. The Bank's approach to capital management is designed to ensure

that it holds capital commensurate with the risks it bears, that regulatory capital requirements are met at all times, and that capital is allocated efficiently to support the Bank's strategic objectives.

10.5.1 Regulatory Capital

The Bank is required to hold regulatory capital under Basel III as implemented by the relevant supervisory authority. Regulatory capital is measured in terms of risk-weighted assets (RWAs) and must satisfy minimum ratio requirements set by the regulator. The Bank shall at all times maintain regulatory capital ratios above the minimum requirements, inclusive of all applicable capital buffers.

Ratio	Regulatory Minimum (incl. Buffers)
CET1 Capital Ratio	4.5% minimum + Capital Conservation Buffer (2.5%) = 7.0% (plus applicable systemic buffers)
Tier 1 Capital Ratio	6.0% minimum + Capital Conservation Buffer = 8.5%
Total Capital Ratio	8.0% minimum + Capital Conservation Buffer = 10.5%
Leverage Ratio	3.0% minimum (Tier 1 capital / total exposure)

10.5.2 Tier 1 Capital

Tier 1 capital represents the highest quality of regulatory capital and consists of Common Equity Tier 1 (CET1) and Additional Tier 1 (AT1) instruments. CET1 capital includes ordinary paid-up share capital, share premium, retained earnings, accumulated other comprehensive income (AOCI), and eligible minority interests, subject to applicable regulatory deductions.

AT1 capital instruments are perpetual, subordinated instruments with loss-absorbing characteristics, including conversion to equity or write-down at specified trigger points. The Bank shall ensure that all AT1 instruments comply with the eligibility criteria under Basel III and applicable local regulations and shall review AT1 eligibility following any amendment to the regulatory framework.

10.5.3 Tier 2 Capital

Tier 2 capital consists of supplementary capital instruments that provide a secondary layer of loss absorption. Eligible Tier 2 instruments include subordinated term debt instruments with a minimum original maturity of five years, general provisions (subject to applicable caps), and certain hybrid instruments.

Tier 2 instruments are subject to an amortisation requirement, whereby the amount eligible for inclusion in regulatory capital is reduced by 20% per year during the final five years to maturity. The Treasury Department shall maintain an up-to-date register of all Tier 2 instruments, including their outstanding amounts, maturity dates, and amortisation schedules.

10.5.4 Capital Buffers

In addition to minimum capital requirements, the Bank is subject to a range of capital buffer requirements designed to protect the banking system against cyclical risks and systemic vulnerabilities:

- Capital Conservation Buffer (CCB): 2.5% CET1, intended to ensure banks build up capital buffers outside of stress periods that can be drawn down when losses are incurred;
- Countercyclical Capital Buffer (CCyB): Set by macroprudential authorities based on the credit cycle; the Bank's CRO is responsible for monitoring CCyB requirements across all relevant jurisdictions;
- Global / Domestic Systemically Important Bank Buffer (G-SIB/D-SIB): Applicable where the Bank is designated as systemically important by the relevant authority;
- Systemic Risk Buffer (SRB): Applicable where required by the supervisory authority to address macroprudential risks.

Distributions to shareholders (dividends, share buybacks) shall be subject to restrictions where the Bank's capital ratios are within the capital conservation buffer, in accordance with the maximum distributable amount (MDA) framework.

10.5.5 Capital Planning

The Bank shall prepare a forward-looking Capital Plan on an annual basis that covers a minimum planning horizon of three years. The Capital Plan shall be prepared by the Finance Department in coordination with the Treasury Department and Risk Management, and shall be approved by ALCO and the Board.

The Capital Plan shall include:

- Projected capital ratios under a base economic scenario;
- Projected capital ratios under defined stress scenarios, including adverse and severely adverse macroeconomic scenarios;
- An analysis of planned capital-generating activities, including retained earnings, new capital issuances, and RWA optimisation initiatives;
- Planned capital distributions to shareholders and the conditions under which distributions may be reduced or suspended;
- Capital contingency actions available to the Bank in the event of capital depletion, including contingent capital instruments and emergency capital raises.

10.5.6 Capital Allocation

The Bank employs a risk-based capital allocation framework to ensure that capital is deployed efficiently across business lines. Capital is allocated to each business unit on the basis of its risk-weighted asset consumption and expected return on capital.

The capital allocation process supports the Bank's risk-adjusted performance measurement framework, including the calculation of Risk-Adjusted Return on Capital (RAROC) metrics. Business units shall be held accountable for the capital they consume and shall be expected to generate returns that exceed the Bank's cost of capital over the business cycle.

10.5.7 Capital Conservation

The Bank's capital conservation framework establishes a hierarchy of actions that shall be taken to protect and restore capital adequacy in the event of capital depletion. The framework includes pre-

defined capital conservation thresholds and associated management actions, up to and including the suspension of dividends, the raising of new capital, and the reduction of risk-weighted assets.

The Capital Conservation Plan shall be reviewed by ALCO on a semi-annual basis and approved by the Board Risk Committee annually. All capital conservation actions shall be documented and reported to the supervisory authority in accordance with applicable disclosure requirements.

10.6**Basel III Requirements**

The Bank is subject to the full suite of Basel III requirements as implemented by the relevant prudential supervisory authority. This section summarises the key Basel III metrics applicable to the Bank and the internal standards established for their management.

10.6.1 Capital Adequacy Ratio (CAR)

The Capital Adequacy Ratio measures the Bank's regulatory capital as a proportion of its total risk-weighted assets. The CAR encompasses the CET1 ratio, Tier 1 ratio, and Total Capital ratio, as described in Section 10.5.1. The Bank shall calculate and report its CAR to the supervisory authority in accordance with applicable reporting schedules and formats.

The CAR calculation shall incorporate all on-balance sheet exposures and off-balance sheet commitments, valued in accordance with the relevant risk weighting methodologies. The Bank uses the Standardised Approach for credit risk, the Standardised Approach for market risk, and the Standardised Measurement Approach for operational risk, unless the use of internal models has been approved by the supervisory authority.

10.6.2 Liquidity Coverage Ratio (LCR)

The LCR requires the Bank to hold a stock of HQLA sufficient to cover its net cash outflows over a 30-day period under a combined idiosyncratic and market-wide stress scenario. The LCR formula is:

$$\text{LCR} = (\text{Stock of HQLA}) \div (\text{Total Net Cash Outflows over 30-day Stress Period}) \geq 100\%$$

The Bank shall calculate its LCR on a daily basis. The LCR position shall be reported to the Head of Treasury and to ALCO on a weekly basis. Compliance with the regulatory minimum of 100% shall be verified daily. The Bank's internal minimum LCR threshold is 110%, and a breach of this internal threshold shall trigger the escalation procedures described in Section 10.13.

10.6.3 Net Stable Funding Ratio (NSFR)

The NSFR requires the Bank to maintain a stable funding profile relative to the liquidity characteristics of its assets and off-balance sheet activities over a one-year time horizon. The NSFR formula is:

$$\text{NSFR} = (\text{Available Stable Funding}) \div (\text{Required Stable Funding}) \geq 100\%$$

The Bank shall calculate its NSFR on at least a monthly basis. Material changes in the Bank's funding structure or asset mix that could adversely affect the NSFR shall be assessed in advance by the Treasury Department and reviewed by ALCO. The Bank's internal minimum NSFR target is 105%.

10.6.4 Leverage Ratio

The Basel III Leverage Ratio is a non-risk-based measure designed to constrain the build-up of leverage in the banking system. It is calculated as Tier 1 capital divided by the Bank's total exposure measure (on-balance sheet and off-balance sheet items, derivative exposures, and securities financing transaction exposures). The regulatory minimum is 3%.

The Bank shall monitor its Leverage Ratio on a monthly basis and shall ensure that it remains above 3% at all times. The Bank's internal minimum Leverage Ratio threshold is 4%. Significant transactions that could materially reduce the Leverage Ratio shall be reviewed by ALCO prior to execution.

10.6.5 Risk Weighted Assets (RWAs)

Risk-weighted assets are a measure of the Bank's exposures adjusted for their relative riskiness. RWAs determine the denominator of the Bank's capital adequacy ratios and drive the Bank's capital requirements. RWAs are calculated for credit risk, market risk, and operational risk in accordance with Basel III methodologies.

The Finance Department is responsible for calculating and maintaining the Bank's RWA position. The Bank shall perform a detailed RWA analysis at least monthly and shall submit RWA data to the supervisory authority in accordance with applicable reporting requirements. Changes in RWAs arising from new business activities, acquisitions, or changes in methodology shall be assessed against their capital impact and approved by ALCO where material.

10.7

Interest Rate Risk

Interest Rate Risk in the Banking Book (IRRBB) refers to the risk of loss arising from changes in interest rates affecting the Bank's non-trading book positions. IRRBB includes repricing risk, yield curve risk, basis risk, and optionality risk. The Bank manages IRRBB within the parameters established by the Board and monitored by ALCO.

10.7.1 Interest Rate Gap

The interest rate gap analysis measures the mismatch between the repricing dates of the Bank's interest rate sensitive assets and liabilities. A positive gap (asset-sensitive) indicates that rising interest rates will generally benefit net interest income, while a negative gap (liability-sensitive) indicates the opposite.

The Treasury Department shall prepare a detailed interest rate gap report on a monthly basis. The gap report shall present repricing mismatches across defined time buckets (overnight, 1-30 days, 31-90 days, 91-180 days, 181 days-1 year, 1-3 years, 3-5 years, >5 years). The report shall be reviewed by ALCO and shall be used to assess whether the Bank's interest rate risk position is within the approved risk appetite.

10.7.2 Repricing Risk

Repricing risk arises from timing differences in the maturity and repricing of interest rate sensitive assets and liabilities. The Bank measures its repricing risk exposure using a combination of the interest rate gap framework and sensitivity analysis that quantifies the impact of parallel and non-parallel interest rate shocks on net interest income (NII) and economic value of equity (EVE).

The Bank shall maintain the following NII and EVE sensitivity metrics within Board-approved limits, measured against a range of interest rate shock scenarios:

- Impact on NII over a 12-month horizon from an instantaneous parallel shift of ± 200 basis points shall not exceed [defined threshold] as a percentage of projected NII;
- Impact on EVE from instantaneous interest rate shocks shall not exceed [defined threshold] as a percentage of Tier 1 capital.

10.7.3 Yield Curve Risk

Yield curve risk arises from changes in the shape of the yield curve that affect the relative pricing of instruments with different maturities. The Bank is exposed to yield curve risk through its portfolio of fixed-rate loans, deposits, and investment securities.

The Bank shall assess its exposure to yield curve risk through scenario analysis that incorporates a range of yield curve stress scenarios, including steepening, flattening, and inversion scenarios. The results of yield curve stress testing shall be reported to ALCO on a quarterly basis and shall be used to inform the Bank's hedging and asset-liability management strategies.

10.7.4 Stress Testing

The Bank shall conduct IRRBB stress tests on at least a quarterly basis. Stress tests shall incorporate both regulatory prescribed scenarios (as specified by the supervisory authority) and internal scenarios developed by the Risk Management function. IRRBB stress test results shall be reviewed by ALCO and reported to the Board Risk Committee.

10.7.5 Scenario Analysis

Scenario analysis for IRRBB involves the detailed assessment of the Bank's financial performance and capital adequacy under a range of interest rate scenarios, including historically observed scenarios, hypothetical scenarios based on economic analysis, and supervisory prescribed scenarios. Scenario analysis complements the standard gap and sensitivity analysis framework by providing a more holistic assessment of the Bank's IRRBB exposure under complex market conditions.

10.8

Market Risk Management

Market risk is the risk of loss arising from adverse movements in market prices, including interest rates, foreign exchange rates, equity prices, and commodity prices. The Bank's market risk management framework applies to all trading book and non-trading book positions that are subject to market price risk.

10.8.1 Foreign Exchange Risk

Foreign exchange (FX) risk arises from the Bank's exposure to movements in exchange rates on its assets, liabilities, and off-balance sheet positions denominated in currencies other than its functional currency. FX risk is managed within the Treasury Department in accordance with approved FX risk limits.

The Bank's FX risk management approach includes:

- Daily monitoring of net open positions in each currency against approved limits;
- The use of FX forwards, options, and swaps to hedge material structural and transactional FX exposures;
- Scenario analysis of FX exposure under a range of exchange rate stress scenarios;
- Reporting of FX positions to ALCO on a monthly basis.

10.8.2 Interest Rate Risk (Trading Book)

Interest rate risk in the trading book refers to the risk of loss from adverse movements in interest rates affecting the Bank's trading book positions, including bonds, interest rate derivatives, and interest rate futures. Trading book interest rate risk is measured using Value-at-Risk (VaR), sensitivity metrics (DV01), and scenario analysis.

Trading book interest rate risk limits shall be set by ALCO and monitored by the Market Risk function on a daily basis. Any breach of trading book interest rate risk limits shall be escalated in accordance with the exception management procedures in Section 10.13.

10.8.3 Investment Portfolio Risk

The Bank's investment portfolio, which is primarily composed of HQLA and other fixed income securities held in the banking book, is subject to both credit risk and interest rate risk. Investment portfolio risk is managed by the Treasury Department within investment guidelines approved by ALCO.

Investment guidelines shall specify:

- Eligible asset classes and minimum credit rating requirements;
- Maximum concentration limits by issuer, sector, geography, and credit rating;
- Duration and interest rate sensitivity limits;
- Liquidity requirements, including minimum bid-ask spread and market depth criteria.

10.8.4 Valuation Risk

Valuation risk is the risk that the value assigned to the Bank's assets and liabilities may differ materially from the value that could be realised in market transactions. Valuation risk is particularly relevant for illiquid or complex instruments and for positions in volatile markets.

The Bank shall apply independent price verification (IPV) processes to all trading book positions and shall maintain appropriate prudential valuation adjustments (PVAs) in accordance with Basel III requirements and accounting standards. The Valuation Control function within Finance is responsible for IPV and PVA processes.

10.8.5 Hedging Strategy

The Bank employs a range of hedging instruments and strategies to manage its market risk exposures. Hedge accounting is applied where appropriate and where the relevant accounting and documentation requirements are satisfied. All hedging strategies shall be approved by the Treasurer and, for strategies above defined materiality thresholds, by ALCO.

Key principles governing the Bank's hedging strategy:

- Hedges shall be documented at inception with clear identification of the hedged item, hedging instrument, risk being hedged, and hedge effectiveness assessment methodology;
- Hedge effectiveness shall be assessed both prospectively and retrospectively in accordance with IFRS 9 requirements;
- Speculative positions are not permitted without express ALCO approval;
- The use of derivative instruments shall be limited to approved counterparties and shall be subject to counterparty credit risk limits.

10.9

Treasury Operations

Treasury operations encompasses the day-to-day management of the Bank's cash, funding, collateral, investment, and settlement functions. The Treasury Department is responsible for the execution and oversight of all treasury operations, subject to the governance and control framework established in this Chapter.

10.9.1 Cash Management

Cash management encompasses the management of the Bank's operational cash positions across all currencies, accounts, and legal entities. The objectives of cash management are to ensure that the Bank has sufficient liquidity to meet all payment obligations, to optimise the deployment of surplus cash, and to minimise idle balances.

The Bank shall maintain a centralised cash management structure supported by a Treasury Management System (TMS). Daily cash positions shall be forecast and managed by the Treasury Operations team. Surplus cash shall be deployed in approved short-term investment instruments or deposited with the central bank where appropriate.

10.9.2 Settlement

Settlement management encompasses the processing, confirmation, and settlement of all treasury transactions, including foreign exchange, money market, fixed income, and derivative transactions. The Bank is exposed to settlement risk arising from potential counterparty default during the settlement window.

Settlement risk is mitigated through:

- The use of central counterparty clearing (CCP) for eligible derivative and securities transactions;

- Payment-versus-payment (PvP) and delivery-versus-payment (DvP) settlement mechanisms;
- Bilateral netting agreements with approved counterparties;
- Settlement fail monitoring and proactive management of settlement exceptions.

10.9.3 Collateral Management

Collateral management encompasses the monitoring, valuation, and optimisation of collateral posted and received by the Bank in connection with its derivative, securities financing, and central bank transactions. Effective collateral management is essential for managing counterparty credit risk and for maintaining efficient access to funding markets.

The Bank shall maintain a Collateral Management function within the Treasury Department responsible for:

- Monitoring margin calls and collateral obligations under ISDA Credit Support Annexes (CSAs) and other collateral agreements;
- Optimising the allocation of collateral across counterparties and transactions to minimise funding costs;
- Maintaining an inventory of available collateral, including its eligibility under central bank facilities and clearing arrangements;
- Reporting collateral utilisation and availability to the Treasurer and, where relevant, to ALCO.

10.9.4 Investment Activities

The Treasury Department manages the Bank's investment portfolio, including the HQLA buffer and any additional investment holdings approved by ALCO. Investment activities shall be conducted in accordance with the Investment Policy approved by the Board Risk Committee, which specifies eligible instruments, credit quality requirements, concentration limits, and duration constraints.

All investment decisions above defined thresholds shall be subject to dual authorisation by the Treasurer and a senior Treasury representative. Investment activities shall be independently reconciled by the Finance Department on a daily basis.

10.9.5 Funding Operations

Funding operations encompasses the execution of the Bank's funding strategy, including the issuance of wholesale funding instruments, the management of interbank facilities, and the drawdown of central bank facilities as required. Funding operations are conducted by the Funding Desk within the Treasury Department.

All funding transactions shall be recorded in the TMS on the date of execution. Funding maturities shall be monitored daily to ensure adequate rollover capacity. The Funding Desk shall report daily on the Bank's funding position, including upcoming maturities, new issuances, and available capacity.

10.10

Stress Testing

Stress testing is an integral component of the Bank's risk management framework, providing forward-looking assessments of the Bank's resilience to severe but plausible adverse conditions. The Bank's treasury stress testing programme encompasses liquidity stress tests, funding stress tests, capital stress tests, macroeconomic scenario analysis, and reverse stress tests.

10.10.1 Liquidity Stress Tests

The Bank conducts liquidity stress tests on at least a monthly basis. Liquidity stress tests simulate the Bank's liquidity position under a range of stress scenarios and assess its ability to survive a period of liquidity stress without requiring extraordinary support.

The Bank's liquidity stress testing framework includes the following scenario types:

Scenario Type	Description	Horizon
Idiosyncratic	Bank-specific liquidity event (e.g., credit rating downgrade, operational failure)	30 days
Market-wide	System-wide liquidity disruption (e.g., financial market freeze)	30 days
Combined	Simultaneous idiosyncratic and market-wide stress	30 days
Extended Stress	Prolonged funding access restriction	90 days
Name Crisis	Specific loss of name recognition in funding markets	30 days

10.10.2 Funding Stress

Funding stress tests assess the Bank's ability to maintain its funding position under scenarios in which access to funding markets is significantly impaired. Funding stress scenarios include the closure of wholesale funding markets, significant retail deposit outflows, and the failure of major counterparties.

Funding stress test results shall be used to assess the adequacy of the Bank's Contingency Funding Plan and to identify potential funding vulnerabilities that require management action. Results shall be reported to ALCO on a monthly basis.

10.10.3 Capital Stress

Capital stress tests assess the adequacy of the Bank's capital resources under adverse economic and financial conditions. Capital stress tests are conducted as part of the annual ICAAP process and, where required, in response to supervisory requests.

The capital stress testing programme shall include:

- A base scenario reflecting the Bank's most likely economic outlook over the planning horizon;
- An adverse scenario reflecting a moderate but significant economic downturn;
- A severely adverse scenario reflecting a severe economic recession;
- Sector-specific scenarios addressing the Bank's key exposure concentrations.

10.10.4 Macroeconomic Scenarios

Macroeconomic scenarios underpin both the capital and liquidity stress testing programmes. The Bank develops macroeconomic scenarios in conjunction with its Economics function, drawing on supervisory guidance, historical precedent, and expert judgment. Scenarios shall be reviewed and approved by ALCO on a quarterly basis and updated to reflect evolving economic conditions.

Key macroeconomic variables incorporated in stress scenarios include: GDP growth, unemployment, interest rates, credit spreads, property prices, equity indices, and foreign exchange rates.

10.10.5 Reverse Stress Testing

Reverse stress testing begins from a defined outcome of failure (e.g., the Bank becoming illiquid, insolvent, or non-viable) and works backwards to identify the scenarios and events that could lead to that outcome. Reverse stress testing complements conventional stress testing by exploring tail risks that may not be identified through standard scenario analysis.

The Bank shall conduct reverse stress tests on at least an annual basis. Reverse stress test results shall be used to inform risk appetite decisions, the Contingency Funding Plan, the Recovery Plan, and Board risk discussions. Results shall be presented to the Board Risk Committee annually.

10.11

Treasury Reporting

Comprehensive and timely reporting is fundamental to the effective management of treasury, liquidity, and capital risks. The Bank maintains a structured reporting framework that provides relevant information to the appropriate governance bodies in a consistent and timely manner.

10.11.1 Liquidity Dashboard

The Treasury Department shall maintain a Liquidity Dashboard that provides a real-time or near-real-time view of the Bank's liquidity position. The dashboard shall be available to the Treasurer, CFO, and Risk Management function at all times and shall include:

- Daily LCR position against regulatory and internal thresholds;
- Intraday liquidity position by currency;
- HQLA portfolio composition and market value;
- Cash flow forecast for the following 30 days;
- Utilisation of funding facilities and available headroom;
- Status of all liquidity risk limits.

10.11.2 Capital Dashboard

The Finance Department shall maintain a Capital Dashboard that provides a current view of the Bank's capital adequacy position. The dashboard shall be reviewed by the CFO daily and shall include:

- CET1, Tier 1, and Total Capital ratios against regulatory and internal thresholds;
- Risk-weighted asset breakdown by risk type and business unit;
- Leverage Ratio;
- Capital buffer headroom above regulatory minima;
- Upcoming capital events (e.g., instrument calls, dividend payments, planned issuances).

10.11.3 Board Reports

The Board Risk Committee shall receive a Treasury, Liquidity, and Capital Risk Report on a quarterly basis. This report shall provide the Board with a comprehensive assessment of the Bank's liquidity and capital position, including:

- Summary of LCR, NSFR, capital ratios, and leverage ratio against regulatory and internal thresholds;
- Summary of stress test results;
- Overview of material changes in the funding profile or capital structure;
- Status of limit breaches and remediation actions;
- Material regulatory developments affecting treasury, liquidity, or capital risk.

10.11.4 ALCO Reports

ALCO shall receive a comprehensive Treasury and Balance Sheet Report at each monthly meeting. This report shall include the Liquidity Dashboard, Capital Dashboard, interest rate risk analysis, funding plan progress, and results of any stress tests completed since the prior meeting.

10.11.5 Regulator Reports

The Bank shall submit regulatory reports on liquidity and capital in accordance with the schedules and formats prescribed by the supervisory authority. Regulatory submissions shall include, at a minimum:

- Daily / weekly LCR reporting (as required by the relevant authority);
- Monthly NSFR reporting;
- Quarterly capital adequacy reporting (Pillar 1 and Pillar 2 reports);
- Annual ICAAP and ILAAP submissions;
- Resolution and Recovery Plan reporting as required.

The Finance Department is responsible for the preparation and submission of all regulatory reports. All regulatory submissions shall be reviewed by the CRO before submission. The Bank shall maintain records of all regulatory submissions and shall track and document responses to any regulatory queries.

10.12

Risk Limits

The Bank maintains a comprehensive risk limit framework governing treasury, liquidity, and capital risk exposures. Risk limits are designed to constrain the Bank's exposure to levels consistent with the Board-approved Risk Appetite and to provide clear thresholds for escalation and management action.

10.12.1 Liquidity Limits

Metric	Internal Minimum	Regulatory Minimum
LCR (Overall)	110%	100%
LCR (Significant Currency)	105%	As per local rule
NSFR	105%	100%
Survival Period (Stress)	45 days	30 days
HQLA Buffer (Absolute Floor)	As per CFP	N/A

10.12.2 Funding Limits

Metric	Limit	Frequency
Wholesale Funding / Total Liabilities	≤ 40%	Daily
Short-term Wholesale (<30 days)	≤ 15%	Daily
Single Counterparty Funding Concentration	≤ 5% of liabilities	Daily
Unsecured Overnight Borrowing	As per ALCO approval	Daily
Funding Maturity Mismatch (1Y)	As per ALCO	Monthly

10.12.3 FX Limits

Metric	Limit	Monitoring Frequency
Net Open Position – Major Currencies	As per ALCO approval	Daily
Net Open Position – Minor Currencies	As per ALCO approval	Daily
Aggregate Net Open Position	As per regulatory limit	Daily
FX VaR (Trading Book)	As per ALCO approval	Daily

10.12.4 Investment Limits

Investment limits govern the composition, concentration, and risk profile of the Bank's investment portfolio. Limits are set by ALCO and reviewed at least annually:

- Minimum average credit rating of the investment portfolio: investment grade (BBB-/Baa3 or above);
- Maximum single issuer concentration: 10% of investment portfolio;
- Maximum investment in unrated securities: 5% of investment portfolio;
- Maximum portfolio duration: as set by ALCO based on interest rate risk appetite;
- Minimum proportion of Level 1 HQLA in HQLA portfolio: 60%.

10.12.5 Counterparty Limits

Counterparty limits apply to the Bank's treasury exposures with individual financial institutions and other counterparties. Limits are established by the Credit Risk Committee, incorporated into the treasury risk limit framework, and monitored by the Risk Management function on a daily basis. Counterparty limits encompass settlement exposure, pre-settlement exposure, and intraday exposure.

10.13

Exception Management

The Bank's exception management framework establishes the processes by which treasury risk limit breaches and other exceptions to this Framework are identified, escalated, managed, and resolved. Effective exception management is critical to maintaining the integrity of the risk limit framework and to ensuring that material risks are brought to the attention of appropriate governance bodies in a timely manner.

10.13.1 Limit Breaches

A limit breach occurs when a treasury risk metric exceeds (or, for minimum thresholds, falls below) the approved limit value. Limit breaches are classified according to severity:

Breach Category	Definition	Escalation Level
Technical Breach	Temporary intraday breach; resolved by close of business	Head of Treasury Operations
Minor Breach	Breach of internal warning threshold (but not hard limit)	Treasurer; Risk Management
Material Breach	Breach of hard limit; first occurrence	CFO; CRO; ALCO (next meeting)
Persistent Breach	Breach extending beyond 2 business days without remedy plan	Board Risk Committee; Regulator (if required)

10.13.2 Escalation

All limit breaches shall be reported to the Risk Management function by the Treasury Department on the day of occurrence. The Risk Management function shall assess the severity of the breach, notify the appropriate escalation recipients, and initiate the exception management process.

Escalation timelines:

- Technical Breach: Notified to Head of Treasury Operations within 1 hour of identification;
- Minor Breach: Notified to Treasurer and Risk Management within 2 hours;
- Material Breach: Notified to CFO and CRO within 4 hours; ALCO notified at next scheduled meeting or emergency session if required;
- Persistent Breach: Board Risk Committee Chair notified within 24 hours; regulatory notification assessed by Compliance.

10.13.3 Corrective Actions

Upon identification of a limit breach, the Treasury Department shall prepare a Corrective Action Plan (CAP) within one business day of the breach notification. The CAP shall identify the root cause of the breach, describe the actions to be taken to restore compliance, and provide a timeline for resolution.

The CAP shall be reviewed and approved by the Treasurer for Technical and Minor Breaches, by the CFO for Material Breaches, and by ALCO for Persistent Breaches. Corrective actions shall be tracked through to completion by the Risk Management function.

10.13.4 Approvals

In certain circumstances, a limit breach may arise from a planned or strategic transaction that is expected to be temporary and is approved by the appropriate governance body. In such cases, the relevant governance body may grant a Temporary Limit Waiver (TLW), subject to the following conditions:

- TLWs must be approved in advance of the breach where possible, and retrospective approval requires a documented justification for the delay;
- TLWs for Material Breaches require CFO and CRO co-approval;
- All TLWs must specify a maximum duration, the maximum permitted level of breach, and conditions for withdrawal of the waiver;
- All TLWs must be reported to ALCO at its next scheduled meeting.

10.13.5 Documentation

All limit breaches, escalations, corrective actions, and waivers shall be documented in the Treasury Exception Register maintained by the Risk Management function. The Exception Register shall record the date of breach, nature of breach, escalation actions taken, corrective actions completed, and final resolution date. The Exception Register shall be reviewed by Internal Audit as part of its annual audit of treasury controls.

The Bank maintains a robust system of internal controls over all treasury activities. These controls are designed to ensure the accuracy and completeness of treasury transactions, prevent unauthorised activities, and provide independent verification of the Bank's risk position and financial reporting.

10.14.1 Segregation of Duties

Segregation of duties is a fundamental internal control principle within the Treasury function. Key segregations shall include:

- Front Office (Dealing) and Back Office (Settlement and Confirmation) shall be operationally separate and shall report through distinct management lines;
- Treasury Dealers shall not have system access to perform settlement, confirmation, or accounting functions;
- Staff performing limit monitoring and risk management functions shall not have transactional authority;
- The Finance Department's reconciliation function shall be independent of the Treasury Department.

Segregation of duties shall be reviewed and documented by Internal Audit at least annually. Any exceptions to segregation requirements arising from resource constraints or operational necessity shall be documented, approved by the CFO, and subject to compensating controls.

10.14.2 Dual Authorization

All treasury transactions above defined materiality thresholds shall require dual authorisation prior to execution. Materiality thresholds and authorisation levels shall be specified in the Bank's Treasury Authorisation Matrix, which is approved by the CFO and reviewed annually.

The Authorisation Matrix shall specify:

- Transaction types requiring dual authorisation;
- Monetary thresholds above which dual authorisation is required;
- Eligible authorisers by transaction type and level;
- Procedures for authorisation during the absence of primary authorisers.

10.14.3 Independent Reconciliation

The Finance Department shall perform independent daily reconciliation of:

- Treasury positions against the Treasury Management System and counterparty confirmations;
- HQLA portfolio positions against custodian records;
- Collateral balances against counterparty statements;
- General ledger balances against treasury sub-ledger records.

Reconciliation breaks shall be investigated and resolved within one business day. Unresolved breaks shall be escalated to the Head of Finance Operations and, where material, to the CFO. All reconciliation results shall be documented and retained for a minimum of five years.

10.14.4 Treasury Audit

The Internal Audit function shall conduct a comprehensive audit of the Treasury Department on at least an annual basis. The audit scope shall include all treasury activities, controls, and governance processes described in this Framework. Specific audit objectives shall include:

- Verifying compliance with approved risk limits and this Framework;
- Testing the effectiveness of segregation of duties and dual authorisation controls;
- Verifying the accuracy of regulatory reporting submissions;
- Assessing the adequacy of Treasury technology controls and data integrity;
- Reviewing the exception management and escalation processes.

Audit findings shall be communicated to the CFO, CRO, and ALCO. Management responses to audit findings shall be tracked to completion by the Internal Audit function and reported to the Audit Committee of the Board.

10.15

Regulatory Compliance

The Bank is subject to a comprehensive range of regulatory requirements governing treasury, liquidity, and capital risk management. Compliance with all applicable regulatory requirements is a non-negotiable obligation, and the Bank maintains dedicated compliance monitoring and reporting processes to ensure ongoing adherence.

10.15.1 Basel III

The Bank implements the full Basel III framework as transposed into local prudential regulations. Key Basel III compliance obligations include:

- Maintaining minimum capital adequacy ratios (CET1, Tier 1, Total Capital) including all applicable buffer requirements;
- Maintaining the LCR at or above 100% at all times;
- Maintaining the NSFR at or above 100%;
- Maintaining the Leverage Ratio at or above 3%;
- Compliance with the Large Exposures framework;
- Compliance with Pillar 2 supervisory review requirements, including ICAAP and ILAAP;
- Pillar 3 public disclosure requirements in accordance with the Basel Disclosure Standards.

10.15.2 IFRS

The Bank prepares its financial statements in accordance with International Financial Reporting Standards (IFRS) as adopted in the relevant jurisdiction. Key IFRS standards applicable to treasury activities include:

- IFRS 9 – Financial Instruments: Classification and measurement, impairment (Expected Credit Loss), and hedge accounting;

- IFRS 7 – Financial Instruments Disclosures: Risk disclosure requirements for market, credit, and liquidity risk;
- IFRS 13 – Fair Value Measurement: Valuation requirements for financial instruments;
- IAS 32 – Financial Instruments Presentation: Classification of financial liabilities and equity.

10.15.3 Local Banking Regulations

In addition to Basel III, the Bank is subject to local banking regulations that may impose additional or more stringent requirements on liquidity, capital, and treasury activities. The Compliance function is responsible for monitoring regulatory developments in all jurisdictions in which the Bank operates and for ensuring that material regulatory changes are reflected in this Framework on a timely basis.

The Bank shall maintain a regulatory change log that records all material regulatory developments, their effective dates, and the actions taken or required to ensure compliance. The regulatory change log shall be reviewed by ALCO on a quarterly basis.

10.15.4 Internal Policies

This Framework operates within the hierarchy of the Bank's internal policy framework. The Bank's Policy Management System specifies the policy hierarchy, including Board-approved policies, executive policies, and operational procedures. This Framework shall be consistent with all higher-level policies, including the Risk Appetite Statement, the Group Risk Management Policy, and the Capital Management Policy.

Where any inconsistency is identified between this Framework and any higher-level policy, the matter shall be escalated to the CFO and CRO for resolution. Until resolved, the higher-level policy shall prevail.

10.16

Treasury Technology

Technology is central to the effective management of the Bank's treasury, liquidity, and capital risk functions. The Bank invests in a robust suite of treasury technology solutions designed to support accurate, timely, and comprehensive management of treasury activities, risk reporting, and regulatory compliance.

10.16.1 Treasury Management System (TMS)

The Bank operates a centralised Treasury Management System that serves as the primary system of record for all treasury transactions. The TMS provides end-to-end functionality covering transaction capture, confirmation matching, settlement processing, position keeping, and regulatory reporting data feeds.

The TMS shall be subject to:

- Formal change management processes for all system modifications;

- Regular system validation to ensure accuracy of calculations, particularly for risk metrics and regulatory reporting;
- Business continuity arrangements, including defined Recovery Time Objectives (RTOs) and Recovery Point Objectives (RPOs);
- Restricted access controls, with users granted access only to functions required for their role;
- Comprehensive audit trail functionality for all transactions and system changes.

10.16.2 Market Data

The Bank relies on market data for the valuation of financial instruments, the calculation of risk metrics, and the preparation of regulatory reports. Market data is sourced from approved data vendors and shall be subject to independent validation processes.

The Bank shall maintain data quality controls that ensure:

- Market data is sourced from reliable, independent vendors;
- Data integrity checks are performed on all market data feeds;
- Stale or missing data is identified and managed through defined substitution procedures;
- Market data sources are subject to annual vendor review.

10.16.3 Automation

The Bank progressively automates treasury processes to improve efficiency, reduce operational risk, and enhance the timeliness of reporting. Automation initiatives shall be subject to a formal business case, technology risk assessment, and governance approval prior to implementation.

Key areas of treasury automation include: automated cash position reconciliation, automated LCR and NSFR calculation and reporting, automated collateral management, and automated limit monitoring and breach notification.

10.16.4 AI Monitoring

The Bank has deployed artificial intelligence (AI) and machine learning (ML) tools to support treasury risk monitoring. AI applications in treasury include anomaly detection in payment flows, predictive cash flow modelling, and early warning systems for liquidity risk. All AI models used in treasury risk management shall be subject to the Bank's Model Risk Management Policy, including model validation, governance approval, and ongoing performance monitoring.

AI tools shall supplement, and not replace, human judgment in treasury decision-making. Material risk decisions shall continue to be made by appropriately qualified treasury professionals with AI tools serving in an advisory and monitoring capacity.

10.16.5 Cyber Controls

Treasury systems are critical infrastructure and are subject to the Bank's Cyber Security Policy and Information Security Framework. Specific cyber controls applicable to treasury technology include:

- Multi-factor authentication for all treasury system access;
- Network segmentation of treasury systems from general corporate networks;

- Privileged access management for administrators of treasury systems;
- Continuous monitoring for cyber threats and anomalous access patterns;
- Regular penetration testing of treasury system environments;
- Defined incident response procedures for cyber security events affecting treasury systems.

10.17**Business Continuity**

The Bank's Business Continuity Management (BCM) framework ensures that treasury functions can continue to operate, or be recovered within defined timeframes, in the event of a significant operational disruption. Treasury business continuity is a critical component of the Bank's overall BCM programme, given the potential systemic impact of treasury operational failures.

10.17.1 Treasury Disaster Recovery

The Treasury Department shall maintain a Treasury Disaster Recovery Plan (TDRP) that describes the steps to be taken to restore treasury operations following a significant business disruption. The TDRP shall specify:

- Roles and responsibilities of treasury staff during a disaster recovery event;
- Contact lists for key treasury staff, counterparties, and service providers;
- Recovery Time Objectives (RTOs) and Recovery Point Objectives (RPOs) for all critical treasury functions;
- Procedures for activating alternative processing sites and technology recovery arrangements;
- Communication protocols with regulators, counterparties, and internal stakeholders during a recovery event.

The TDRP shall be tested at least annually through both tabletop exercises and, where practicable, live recovery tests. Test results shall be documented and lessons learned shall be incorporated into subsequent iterations of the TDRP.

10.17.2 Emergency Liquidity

In the event of a significant operational disruption that impairs the Bank's ability to manage its normal liquidity position, the Bank shall activate emergency liquidity procedures. Emergency liquidity procedures shall include:

- Designation of a senior Treasury officer as Emergency Liquidity Controller with authority to execute emergency transactions;
- Immediate assessment of the Bank's liquidity position and the impact of the disruption on its ability to meet payment obligations;
- Activation of pre-arranged contingency liquidity facilities, including central bank facilities;
- Communication with SWIFT, payment system operators, and settlement agents to manage operational impacts on payment flows;
- Regular updates to the CFO and, as required, the Board.

10.17.3 Alternative Funding

The Bank maintains pre-arranged access to alternative funding sources that can be activated rapidly in the event of a disruption to normal funding channels. Alternative funding sources include:

- Central bank Standing Lending Facility and Emergency Liquidity Assistance (ELA) arrangements;
- Bilateral committed credit facilities with major banking counterparties;
- Repurchase agreements (repo) backed by pre-positioned HQLA;
- Interbank credit facilities with correspondent banks;
- Access to international funding markets through established dealer relationships.

The availability and accessibility of each alternative funding source shall be tested at least annually as part of the Contingency Funding Plan testing programme. Testing results shall be reported to ALCO.

10.18 Document Control

10.18.1 Definitions

For the purposes of this Framework, the following terms shall have the meanings ascribed to them below:

Term	Definition
ALCO	Asset Liability Committee
AT1	Additional Tier 1 capital instruments
BCM	Business Continuity Management
CAP	Corrective Action Plan
CAR	Capital Adequacy Ratio
CCB	Capital Conservation Buffer
CCyB	Countercyclical Capital Buffer
CET1	Common Equity Tier 1 capital
CFO	Chief Financial Officer
CFP	Contingency Funding Plan
CRO	Chief Risk Officer
DIP	Debt Issuance Programme
DvP	Delivery-versus-Payment
ELA	Emergency Liquidity Assistance
EVE	Economic Value of Equity
FTP	Funds Transfer Pricing
FX	Foreign Exchange

HQLA	High-Quality Liquid Assets
ICAAP	Internal Capital Adequacy Assessment Process
ILAAP	Internal Liquidity Adequacy Assessment Process
IPV	Independent Price Verification
IRRBB	Interest Rate Risk in the Banking Book
LCR	Liquidity Coverage Ratio
MTN	Medium-Term Note
NII	Net Interest Income
NSFR	Net Stable Funding Ratio
PvP	Payment-versus-Payment
PVA	Prudential Valuation Adjustment
RAROC	Risk-Adjusted Return on Capital
RPO	Recovery Point Objective
RTO	Recovery Time Objective
RWA	Risk-Weighted Asset
TLW	Temporary Limit Waiver
TMS	Treasury Management System
TDRP	Treasury Disaster Recovery Plan

10.18.2 Cross References

This Framework shall be read in conjunction with the following documents:

- Enterprise Governance & Risk Framework – Chapter 1: Risk Governance;
- Enterprise Governance & Risk Framework – Chapter 2: Risk Appetite Framework;
- Enterprise Governance & Risk Framework – Chapter 6: Credit Risk Management Framework;
- Enterprise Governance & Risk Framework – Chapter 8: Operational Risk Framework;
- Capital Management Policy;
- Liquidity Risk Policy;
- Investment Policy;
- Contingency Funding Plan;
- Recovery Plan;
- ICAAP and ILAAP documents;
- Treasury Authorisation Matrix;
- Treasury Disaster Recovery Plan;
- Cyber Security Policy;
- Model Risk Management Policy.

10.18.3 Policy Supremacy Statement

In the event of any conflict between this Framework and any other Bank policy, procedure, or guidance document, the following hierarchy shall apply: Board-approved policies shall take precedence over this Framework; this Framework shall take precedence over subsidiary policies, procedures, and guidelines developed by the Treasury Department or other operational functions.

Where any inconsistency is identified, it shall be reported to the CFO and CRO for resolution, and the more conservative or restrictive provision shall apply pending formal resolution. The Policy Owner (Chief Financial Officer) is responsible for ensuring that this Framework remains consistent with all higher-level governance documents and with applicable regulatory requirements.

10.18.4 Appendices

The following appendices form part of this Framework and shall be read together with the main body of this document:

Appendix	Title	Owner
A	Treasury Risk Limit Schedule	Treasurer / Risk Management
B	Treasury Authorisation Matrix	CFO
C	HQLA Eligibility Criteria and Portfolio Guidelines	Treasury / Risk Management
D	Contingency Funding Plan	CFO / Treasurer
E	Liquidity Stress Test Methodology	Risk Management
F	Capital Stress Test Methodology	Risk Management / Finance
G	IRRBB Measurement and Reporting Standards	Treasury / Risk Management
H	FX Risk Management Guidelines	Treasury
I	Collateral Management Procedures	Treasury Operations
J	Regulatory Reporting Schedule and Formats	Finance / Compliance

— End of Chapter 10 —

Enterprise Governance & Risk Framework | Chapter 10 | Version 5.4.1 | CONFIDENTIAL